

Book	Administrative Guideline Manual
Section	Administrative Guideline Updates
Title	Vol. 43, No. 2 - January 2025 New INSUFFICIENT FUNDS CHECKS
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New Guideline - Vol. 43, No. 2

6151 - INSUFFICIENT FUNDS CHECKS

~~The following will occur when a check is received by the District which is not honored upon presentation to the respective bank or other depository institution for any reason:~~

- ~~A. Once a check has been dishonored and returned to the District office or school office, the Treasurer/CFO will send a certified letter, with a return receipt requested, to the payer requesting payment plus an additional returned check fee. The individual will have thirty (30) days in which to make payment or to arrange a satisfactory payment schedule.~~
- ~~B. Once collection efforts have been exhausted after 180 days, a determination will be made by the Treasurer/CFO, depending on value, whether to write off the check or to pursue further action.~~

When the District receives a check that is not honored by the bank or depository institution for any reason, the following steps will be taken:

- A. The Fiscal Office receives notification from the bank of the returned check.
- B. The Fiscal Office deducts the funds from the account where the check was deposited.
- C. The Fiscal Office notifies the building Administrative Assistant or Manager to reverse the credited payment.
- D. The Administrative Assistant or Manager sends a letter to the check's creator, informing them of the insufficient funds. A bank fee is added to the original amount due.
- E. Upon receiving a new payment, the funds are deposited and recorded, and the original amount and fees are posted to the appropriate General Ledger accounts.
- F. If collection efforts remain unsuccessful after 180 days, the Treasurer or CFO will determine whether to write off the check or pursue further action based on its value.